

4.2 Global markets and business expansion

Subject content	What students need to learn:
4.2.1 Conditions that prompt trade	a) Push factors: - o saturated markets - o competition b) Pull factors: - o economies of scale - o risk spreading c) Possibility of off-shoring and outsourcing d) Extending the product life cycle by selling in multiple markets
4.2.2 Assessment of a country as a market	a) Factors to consider: - o levels and growth of disposable income - o ease of doing business - o infrastructure - o political stability - o exchange rate
4.2.3 Assessment of a country as a production location	a) Factors to consider: - o costs of production - o skills and availability of labour force - o infrastructure - o location in trade bloc - o government incentives - o ease of doing business - o political stability - o natural resources - o likely return on investment
4.2.4 Reasons for global mergers or joint ventures	a) Spreading risk over different countries/regions b) Entering new markets/trade blocs c) Acquiring national/international brand names/patents d) Securing resources/supplies e) Maintaining/increasing global competitiveness
4.2.5 Global competitiveness	a) The impact of movements in exchange rates b) Competitive advantage through: - o cost competitiveness - o differentiation c) Skill shortages and their impact on international competitiveness